

Tempus AI, Inc.
TEM NASDAQ

Buy	\$49.48 ▲ 1.35%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.88B
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TEM: Reiterate Buy; Partnerships, FDA CDx Offset Insider Selling

WHAT'S CHANGED

- TEM trades at \$49.48 (+1.35%), recovering from the 6/5 -11% gap-down (\$52.26→\$46.43); stock sits at only 12% of 52-wk range (\$41.73–\$104.32), reflecting significant compression from highs.
- Options flow decisively bullish (P/C 0.25) with unusual \$65 July call activity at 19.2x OI — directly contradicting Lefkofsky's three significant 5/27 CEO sales totaling ~\$3.2M.

IMPLICATIONS

The constructive overnight tape (HCW Buy reiteration, FDA CDx clearance momentum, new partnerships driving double-digit gains) suggests fundamentals are accelerating even as the share price languishes near 52-wk lows — a classic dislocation setup. With sector leadership rotating defensively (Staples +4.05% 5D, Energy/Utilities mixed) and growth-sensitive Comm Svcs/Financials softening, TEM's idiosyncratic AI-oncology catalysts must carry the stock rather than beta. The CEO selling is a watch-item but appears to be programmatic given consistent pricing — institutional sponsorship (ARK 5.5%, BlackRock 5.1%, Baillie Gifford 5.0%) remains the more important tell.

VALUATION

At \$8.88B market cap on ~\$1.28B FY26E revenue, TEM trades at ~6.9x EV/Sales — a meaningful discount to high-growth diagnostics/AI-health peers at 10–15x, justified by negative EBITDA but underpricing the data-licensing optionality. Our \$68 PT (~37% upside) applies ~9x EV/FY27E revenue, supported by FDA CDx-driven gross margin mix shift and accelerating pharma data deals. Multiple re-rating hinges on the path to gross margin >65% and clear cash burn reduction by 4Q26.

KEY RISKS

- Continued CEO/insider selling pressure signaling internal valuation concerns or distribution overhang
- Cash burn extension forcing dilutive capital raise given stock at 12% of 52-wk range
- Reimbursement headwinds or competitive encroachment from Guardant (GH), Natera (NTRA), and Illumina-backed AI initiatives

RECENT NEWS

Tempus AI (TEM) Is One Of The Best Healthcare Mid-Cap AI Stock According To Analysts Insider Monkey · 2026-06-10 09:24

Assessing Tempus AI (TEM) Valuation After Recent Share Price Rebound And Underpriced Growt... Simply Wall St. · 2026-06-05 15:15

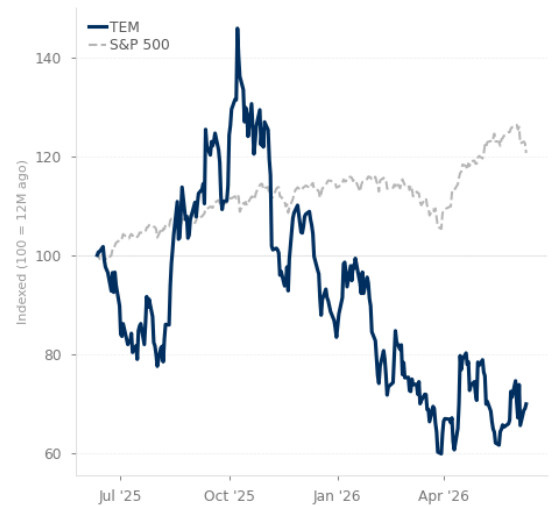
Key Data

Price (USD)	\$49.48
12M Price Target	\$68.00
Upside / (Downside)	+37.4%
Market Cap	\$8.88B
FY2026E Revenue	\$1,280M
FY2027E Revenue	\$1,640M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$50.00	\$43.00
6 Months	\$72.00	\$58.00	\$40.00
1 Year	\$92.00	\$68.00	\$35.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$130.00	\$22.00
10 Years	\$420.00	\$210.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Consumer Staples, Energy

COLD SECTORS: Communication Services, Financials

ROTATION WATCH: Defensive rotation into Staples (+4.05% 5D) signals risk-off positioning that typically pressures unprofitable growth names like TEM; however, healthcare AI remains a secular theme decoupled from cyclical rotation.

BYPRODUCT PLAY: GLP-1 and oncology drug development boom drives pharma demand for real-world genomic datasets — TEM's data licensing arm is a pick-and-shovel beneficiary regardless of which specific therapeutic wins.

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): Sustained 30%+ revenue growth with positive gross margin trajectory outpacing diagnostics peers.
- VEEV (Veeva Systems): Profitable healthcare-data SaaS comp trading at premium multiple — benchmark for where TEM could re-rate.

TEM CONTEXT: TEM is lagging peers meaningfully — at 12% of 52-wk range vs. NTRA/VEEV trading nearer highs — reflecting profitability gap rather than top-line trajectory. Closing this discount requires demonstrable margin progress in next 1–2 prints.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$45-49 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >10%, gross margin compression, or loss of major pharma data partner

Hedging: Paired short vs. richer AI-diagnostics peer or long-dated OTM puts